SAMSUNG SDI

4Q25 Quarterly Earnings

2026.2.2

Disclaimer

- The financial information herein are consolidated earnings results based on K-IFRS.
- This document is provided for the convenience of investors before the external audit on our financial results is completed, some parts of this document may change during the audit process.
- The document contains 'forward-looking statements' about the future using words such as "anticipates," "predicts," "plans," "expects," and etc. Please be aware that such 'forward-looking statements' by their nature of uncertainty may result differently when actually occurred in practice.

Financial Status

I/S Summary

(Unit: Bn KRW)

	4Q24	3Q25	4Q25	QoQ	YoY	2024	2025	YoY
Revenue	3,754	3,052	**3,859**	+26.4%	+2.8%	16,592	**13,267**	-20.0%
Operating Income	-257	-591	**-299**	Loss Cont'd	Loss Cont'd	363	**-1,722**	Turned to loss
Pre-tax Income	-347	-430	**-236**	Loss Cont'd	Loss Cont'd	527	**-1,364**	Turned to loss
Net profit	-243	6	**-208**	Turned to loss	Loss Cont'd	576	**-585**	Turned to loss
EBITDA	222	-77	**273**	Turned to profit	+23.0%	2,216	**378**	-83.0%

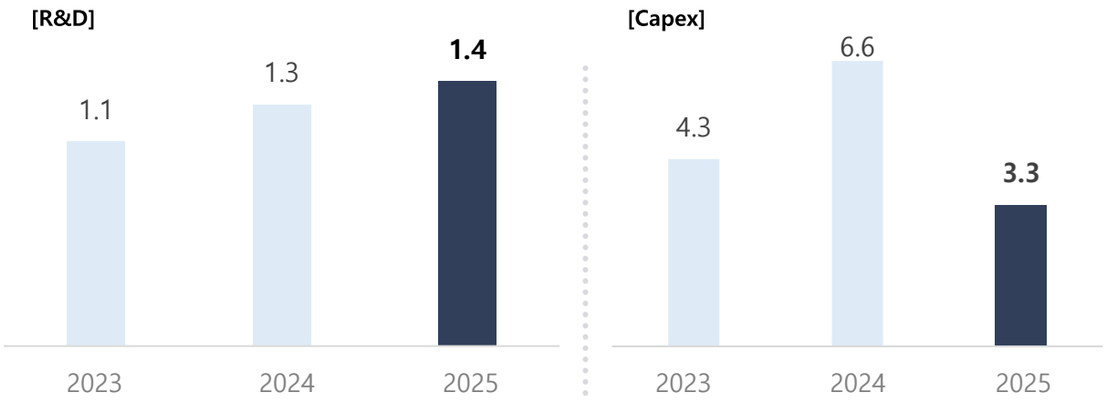
B/S Summary

(Unit: Bn KRW)

	4Q24	3Q25	4Q25	QoQ	YoY
Assets	40,597	42,175	**42,255**	+81	+1,658
Liabilities	19,030	18,702	**18,685**	-16	-345
Equity	21,567	23,473	**23,570**	+97	+2,003
Cash and Cash Equivalents	1,885	2,149	**1,804**	-345	-81
Total Debt	11,578	11,441	**10,884**	-558	-694

R&D & CAPEX

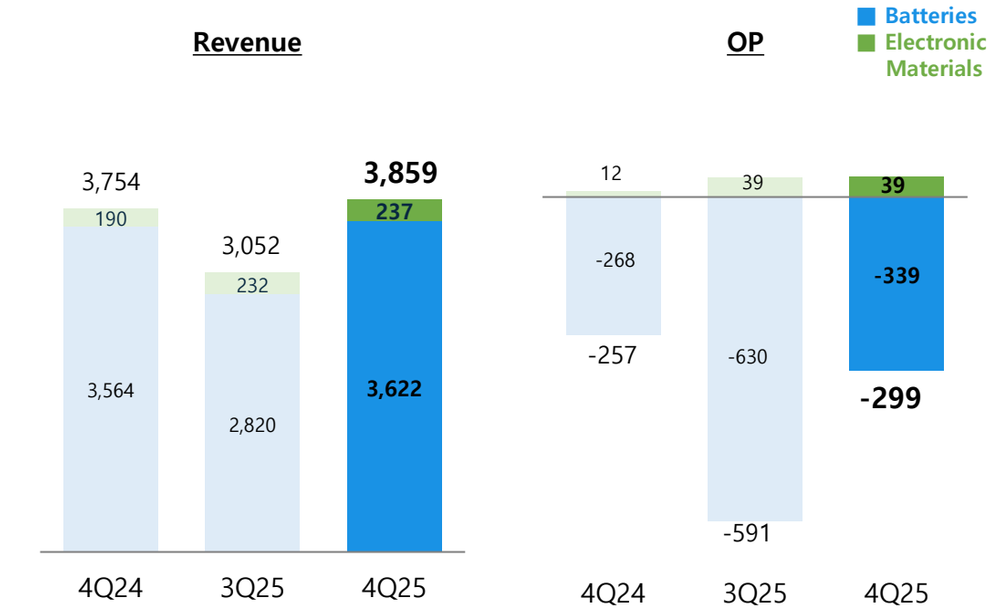
(Unit: Tn KRW)



Earnings by Business & Highlights

4Q25

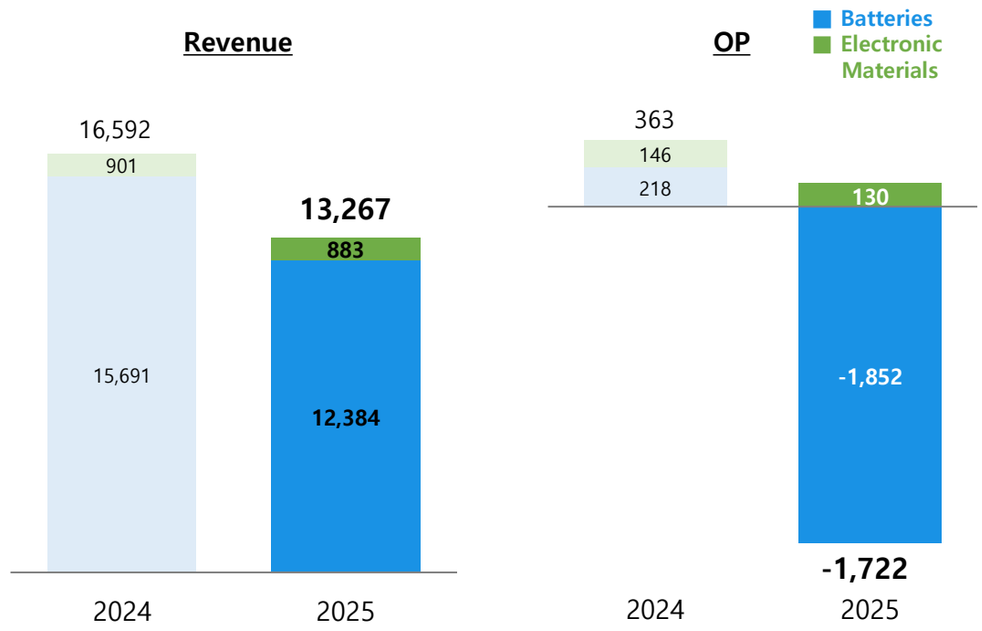
(Unit: Bn KRW)



- **Batteries** marked increased QoQ revenue and decreased deficit, thanks to record-high ESS quarterly sales and increased AMPC, and to compensation for lower EV volume
- **Electronic Materials** recorded neck-to-neck QoQ earnings

FY2025

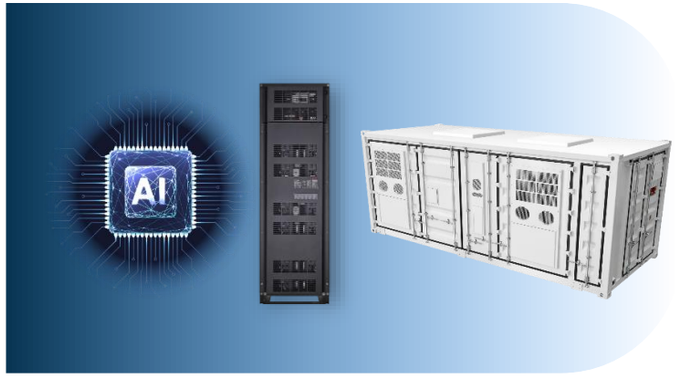
(Unit: Bn KRW)



- **Batteries** revenue decreased YoY and operating profit turned to loss, due to slower EV sales by unfavorable environmental policy changes and sluggish sales of strategic partner, and to ESS tariff burden and delayed demand recovery on small batteries
- **Electronic Materials** revenue and profitability decreased YoY, due to weaker OLED materials sales, despite improved sales of semi-conductor materials

2025 Business Highlights

Strengthened ESS Sales Foundation



- **NCA SBB 1.7, LFP SBB 2.0**
  Sole non-Chinese prismatic ESS solution provider
- **ESS Capacity-Increase Cont'd**
  Established US local ESS capacity, etc.
- **BBU Sales Increased**
  Reached 50% global M/S based on battery cell (SDI Marketing)

Enhanced Technological Competitiveness



- **Recognized for ESS Safety** & **High-power Cylindrical Battery Technology**
  * The Smarter E Award · Korea Technology Awards Grand Prize
  * CES Innovation Awards
- **Signed Joint MOU** with BMW for All Solid Battery, with Hyundai Motor for Robot Battery
- **Next-Gen Electronic Materials First Applied to Customers' New Products**
  (G-Host for PSF*, High-Thermal-Conductivity EMC for Mobile AP/Memory)
  * PSF: Phosphorescent Sensitized Fluorescence

Intensified Activities for Project-Awards



- **Signed Large-Scale Supply Contracts**
  NCA 46Φ for EV, LFP prismatic for ESS, etc.
  (Total 5,150GWh+)
- **KR ESS Central Contract Market PJT**
  Confirmed awards for 1st round bidding
- **High-power Tab-less Cylindrical Cell**
  Supplying for global powertool companies

2026 Market Outlook

Market Outlook by Business

EV

- Global EV battery demand expected to grow 16% YoY; **Ex-China to grow 6%** (US -9%, EU +9%)
- **Battery competition in EU expected to intensify** due to lower US EV demand and heightened regulations against Chinese products

ESS

- Demand growth for utility, UPS, BBU* to continue in increasing AI datacenters
- **Opportunities for non-China firms on US local supply to be expanded** due to IRA, tariffs

*Battery Back-up Unit

Small

* Excl. EV, ESS

- For cylindrical batteries, increased datacenter constructions to lead **demand rebound for powertools**; New market demands such as E2Wheeler, robots to continue growing
- For pouch batteries, **demand for high energy density to increase** around premium models such as AI phones and foldable phones

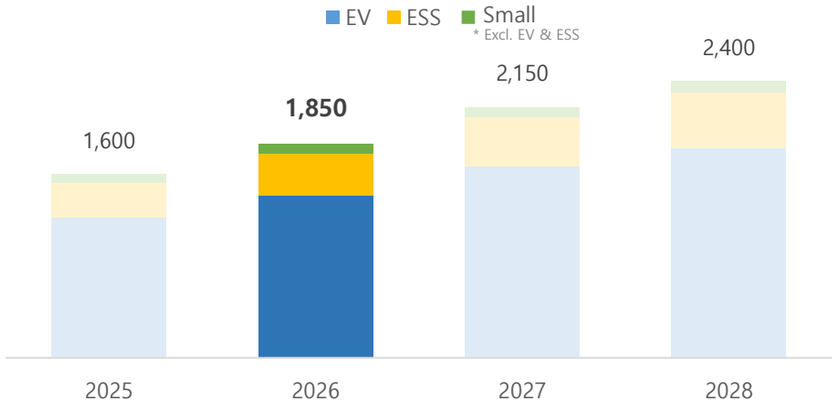
Electronic Materials

* SDI's participated markets only

- For semi-conductors, demand to grow due to **increased investments for AI servers** (2025 $688M → 2026 $717M)
- For display, growth expected **around IT/mobile OLED panels** (2025 $937M → 2026 $981M)

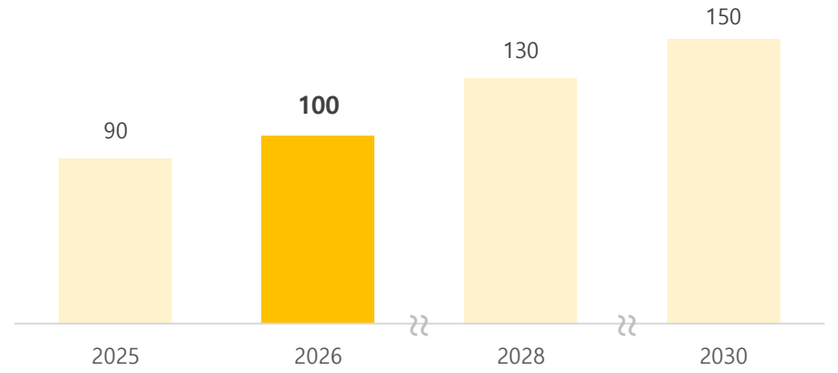
Global Battery Market

(Unit: GWh)



US ESS Battery Market

(Unit: GWh)



* Source: SDI Marketing

2026 Business Strategies

【Focus & Prioritize】 【Customer · Market Response】 【Future-Ready Technology】

Core Strategic Initiatives

ESS

Full Capacity Sales of ESS Prismatics
Sales up to full production capacity (20 GWh)

On-time Mass Production of SBB 2.0
U.S. local mass production in 4Q 2026 * Prismatic LFP ESS

Increase M/S in the BBU Market
Boosted BBU sales on tab-less high-power cylindricals

EV

Maximize Sales · PJT Awards
Increase sales to existing · new customers; Win PJT awards on new chemistries (LFP · Mid-Ni)

New Entry into Hybrid EVs
Tab-less high-power cylindricals for HEV

Small

Expand Sales on Powertools
Increase sales of tab-less high-power cylindricals for expert powertools

Maximize Sales in Flagship Smartphones
Timely first-in on major customers' new projects

Electronic Materials

Development of Semiconductor · OLED Materials for New Markets
Packaging/patterning materials for HBM;
Films for foldable phones

- **[Investment] Enhance Investment Efficiency in line with Market Demand Changes**
  US EV→ESS / EU NCA→LFP transition, etc.
- **[Productivity] Innovate Productivity through Improving · Modifying Existing Lines**
  Find a total solution via joint efforts of R&D·Manufacturing teams
- **[Cost Reduction] Build Structural Materials · Manufacturing Costs Reduction**
  Product design improvement, optimized labor operation by site, inspect inefficient items, etc.
- **[Future Technology] Secure Differentiated Technology via 'Focus & Prioritization'**
  ESS-related systems, non-active materials technology, etc.

Consolidated Income Statement

(Unit: Bn KRW)

Items	4Q24	1Q25	2Q25	3Q25	4Q25	2024	2025
Revenue	3,754	3,177	3,179	3,052	**3,859**	16,592	**13,267**
Gross Profit	571	202	281	168	**810**	3,094	**1,462**
(%)	15.2%	6.4%	8.8%	5.5%	**21.0%**	18.6%	**11.0%**
Operating Income	-257	-434	-398	-591	**-299**	363	**-1,722**
(%)	-6.8%	-13.7%	-12.5%	-19.4%	**-7.8%**	2.2%	**-13.0%**
Non-operating Income	-91	77	57	162	**63**	164	**358**
Equity Income in Affiliates	202	130	128	229	**351**	801	**838**
Pretax Income	-347	-357	-341	-430	**-236**	527	**-1,364**
(%)	-9.2%	-11.2%	-10.7%	-14.1%	**-6.1%**	3.2%	**-10.3%**
Net Income	-243	-216	-167	6	**-208**	576	**-585**
(%)	-6.5%	-6.8%	-5.2%	0.2%	**-5.4%**	3.5%	**-4.4%**
Net Income Attributable to Owners of the Parent	-227	-221	-153	48	**-324**	599	**-649**
(%)	-6.0%	-6.9%	-4.8%	1.6%	**-8.4%**	3.6%	**-4.9%**

Consolidated Balance Sheet

(Unit: Bn KRW)

Items	4Q24	1Q25	2Q25	3Q25	4Q25
Total Assets	40,597	40,710	41,437	42,175	**42,255**
Current Assets	10,334	9,735	10,498	9,894	**8,740**
Cash and Cash Equivalents	1,885	1,353	2,154	2,149	**1,804**
Accounts Receivables and Others	4,042	4,215	3,790	3,894	**3,079**
Inventories	2,879	2,765	2,583	2,669	**2,936**
Non-Current Assets	30,263	30,976	30,939	32,280	**33,515**
Investments	10,187	10,275	10,373	10,936	**11,427**
PP&E, Intangibles	18,375	18,927	18,724	19,240	**19,825**
Total Liabilities	19,030	19,173	18,758	18,702	**18,685**
Current Liabilities	10,856	10,096	9,602	9,519	**9,795**
Non-Current Liabilities	8,174	9,078	9,156	9,183	**8,890**
Total Equity	21,567	21,537	22,679	23,473	**23,570**
Paid-in Capital	357	357	416	416	**416**